

Perhaps another influence was also at work against those who snapped up Motorola shares overnight. This influence is one of the most subtle and dangerous in the entire field of investment and one against which even the most sophisticated investors must constantly be on guard. When for a long period of time a particular stock has been sell-ing in a certain price range, say from a low of 38 to a high of 43, there is an almost irresistible tendency to attribute true value to this price level. Consequently, when, after the financial community has become thoroughly accustomed to this being the “value” of the stock, the appraisal changes and the stock, say, sinks to 24, all sorts of buyers who should know better rush in to buy. They jump to the conclusion that the stock must now be cheap. Yet if the fundamentals are bad enough, it may still be very high at 24. Conversely, as such a stock rises to, say, 50 or 60 or 70, the urge to sell and take a profit now that the stock is “high” becomes irresistible to many people. Giving in to this urge can be very costly. This is because the genuinely worthwhile profits in stock investing have come from holding the surprisingly large number of stocks that have gone up many times from their original cost. The only true test of whether a stock is “cheap” or “high” is not its current price in relation to some former price, no matter how accustomed we may have become to that former price, but whether the company's fundamentals are significantly more or less favorable than the current financial-community appraisal of that stock.

As previously mentioned, there is a third element of investment-community appraisal that also must be considered, along with its appraisal of the industry and of the particular company. Only after all three are blended together can a worthwhile judgment be reached as to whether a stock is cheap or high at any given time. This third appraisal is that of the outlook for stocks in general. To see the rather extreme effect such general market appraisals can have in certain periods and how far these views can vary from the facts, it may be well to review the two most extreme such appraisals of this century. Ridiculous as it may seem to us today, in the period from 1927 to 1929, the majority of the financial community actually believed we were in a “new era.” For years earnings of most U.S. companies had been growing with monotonous regularity. Not only had serious business depressions become a thing of the past but a great engineer and businessman, Herbert Hoover, had been elected President. His competence was expected to assure even greater prosperity from then on. In